

Samvardhana Motherson International Ltd

MOTHERSON · Consumer Discretionary / Auto Ancillaries

ROE

11.55%

ROCE

12.27%

Net Profit Margin

3.06%

D/E

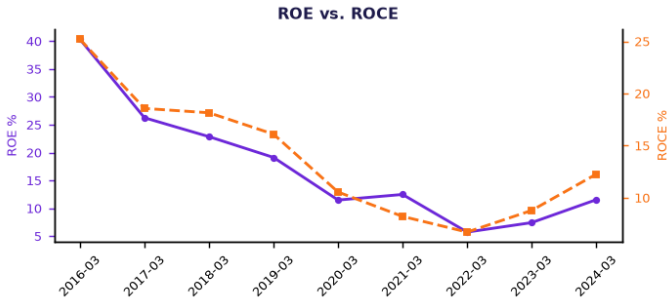
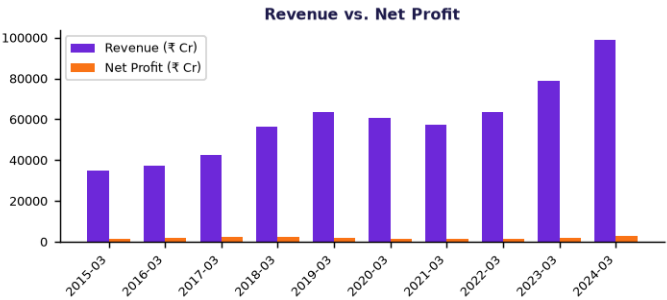
0.76

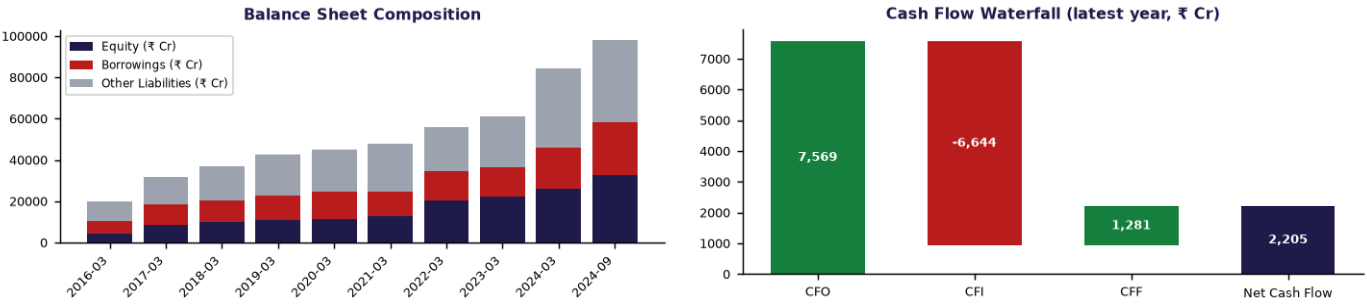
Revenue CAGR 5yr

9.21%

FCF (Rs. Cr)

925





Pros

- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (83% confidence)
- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (80% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (62% confidence)

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (67% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (62% confidence)

Capital Allocation Pattern: **Mixed**